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VOLATILITY CONTRACTION PATTERN (VCP)



Strategy video

This chapter talks about a longer-term strategy. This positional strategy can take time to form the ideal price structure but it still remains one of the most effective chart patterns I have ever used.

Like every other strategy mentioned in this book, this strategy is also simple to follow. A beginner can execute this strategy as it is executed on a bigger timeframe and the volatility is not our major concern here.

INTRODUCTION

One of the effective methods in technical analysis includes identifying the repetitive patterns in the charts of price movements and other metrics like volume that signal potential trading opportunities. I have observed that certain chart patterns have a more reliable statistical edge than others.



Mr. Mark Minervini

The Volatility contraction pattern or the VCP is one such powerful chart pattern originally devised by the legendary trader Mark Minervini. This chapter explains chart patterns, the VCP formation and how to trade it profitably with a systematic approach.